THE CHALLENGE SURVIVAL CHEAT SHEET

The three numbers, the formula, and the rules that keep you inside the line.

1. THE FORMULA

Position size = Risk in $ ÷ (Stop distance × Point value per unit) - risk in dollars first, size second. Never the other way round.

Step	Example
Account	$100,000
Risk per trade	0.5% = $500
Entry / Stop	5200 / 5195 = 5 points of risk
Point value	$5 per unit = $25 risk per unit
Size	$500 ÷ $25 = **20 units, rounded down**

2. THE THREE NUMBERS (before every trade)

1. **What this trade risks in $** - fixed percentage of the account, calculated.
2. **Today's loss allowance remaining** - the daily loss limit is what ends most accounts, not the total drawdown.
3. **Total drawdown remaining** - the number that decides whether there's a tomorrow.

If you can't answer all three in ten seconds, you're guessing. Guessing is what ends accounts.

3. RISK PER TRADE - DEFAULTS

Start at **0.5%**. Sanity-check it against your daily limit: a 5% daily limit at 0.5% per trade is ten full stop-outs before the day is over - nobody's day survives ten losses, which is exactly the point. At 2% per trade it's two bad trades and a tilt. Scale down before you scale up.

4. THE 80% RULE

Used 80% of today's allowance? Stop. Not one more trade. The limit resets tonight; your account doesn't. The trade that breaks the daily rule is almost never a planned one - it's the one taken to get back to flat.

5. TRAILING VS STATIC DRAWDOWN

Trailing drawdown follows your highest equity point and does **not** move back down when you give gains back. Static stays anchored to the starting balance. If yours trails, a hot streak raises the floor under you - the give-back that feels harmless has already eaten your cushion. Manage winners differently on a trailing account.

PRE-TRADE CHECKLIST

Print this page. Fill it before every entry - pencil beats memory.

■ **1. TODAY'S ALLOWANCE**

Remaining before this trade: $ _____ (exact number, not "roughly fine")

■ **2. THIS TRADE**

Risks exactly $ _____ = _____ % of account. Size computed from the stop, not eyeballed.

■ **3. TOTAL DRAWDOWN**

Remaining: $ _____ Firm's rule: ■ static ■ trailing

■ **4. HARD STOP**

Placed at _____. If it hits, today's allowance is _____ % used - under 80%? ■ yes

■ **5. REASON**

Entry reason written down: _____ (it must survive being my third loss today)

All five checked? Take the trade. One unchecked? That's the one that ends challenges.